Twist Bioscience

TWST | Nasdaq Global Select | 2026-10-11

Q4 2027 model ceiling: USD 9.98

Analytical Base 42/60 = 70 | Watchlist: differentiated growth business; modeled earnings do not support current price

20x forward-four-quarter fully expensed operating profit less $15m sold-revenue liability, divided by end-window gross diluted shares. Each persistent AI outcome receives a zero common-equity floor before 45%/55% weighting. No cash or speculative drug royalty value added.

Coverage initiated at the owner's request. No holding was established by this research. Existing portfolio Base overrides remain protected.

All operating values are in USD million and shares in millions unless stated otherwise. Forecasts are analytical assumptions; issuer guidance and actual results are identified separately.

Writing-date snapshot: USD 159.78 per share (Oct9,2026 regular close); 66.301 million common shares (July29 actual plus Aug5 full offering pro forma); estimated equity capitalization USD 10,593.6 million. Common shares 62.707424m plus3.593750m offered including fully exercised option. Pro forma, not a verified Oct9 count; diluted model count separately includes outstanding awards/options and new grants. This dated common-share snapshot is separate from forecast diluted shares.

Growth or re-rating: no positive modeled upside at the dated 2026-10-09 regular close, 16:00 America/New_York price of USD 159.78, so the Upside Driver split is unavailable.

Decision in the model

Active horizon	Earnings window	F4Q OP	Multiple	Diluted shares	Ceiling
Q4 2027	Q4 2027 through Q3 2028	38.4	20x	75.414	9.98

The ceiling is a model valuation, not a guaranteed trading price or a literal net-income P/E. Operating branches are weighted once. Where debt, preferred claims, conversion or equity floors make value nonlinear, the model values each coherent operating and funding state first, then weights those common-share outcomes.

Economic scope and matching claims

Consolidated DNA, protein/data and NGS operations including SBC, D&A and operating lease rent. No additional lease debt subtraction. $15m sold-revenue liability deducted once; excluded royalty/Atlas equity gains receive no valuation credit. All cash retained to fund scale rather than added as surplus.. 20x forward-four-quarter fully expensed operating profit less $15m sold-revenue liability, divided by end-window gross diluted shares. Each persistent AI outcome receives a zero common-equity floor before 45%/55% weighting. No cash or speculative drug royalty value added.

Financial claims and diluted shares follow the company-specific schedule below. Debt, preferred and minority claims are counted once. All financial model tables use USD million unless a different unit is stated.

Investment conclusion

Twist sells the physical experiments that test a computational design. Customers can generate far more candidate sequences with AI; someone still has to make the DNA, express the protein and measure what it does. The most attractive product is increasingly a reproducible experimental result rather than a low-priced fragment of DNA. The business thesis is credible. The 20x fully expensed operating-profit valuation is much less forgiving than a narrative valuation based on eventual platform dominance.

The Q4 2027 ceiling is about $10. That does not assert that the company has no long-term strategic value. It means the Q4 2027-through-Q3 2028 earnings window does not yet earn enough to support the current equity capitalization under this framework. The forecast already includes strong growth, expanding product margins and a positive probability-weighted AI contribution. Raising the multiple or omitting share compensation solely to close the gap would change the question rather than answer it.

Product and manufacturing advantage

Twist miniaturizes DNA synthesis on silicon. This lowers reagent consumption and enables many different sequences to run in parallel. The next steps depend on the order: a customer can stop at a fragment, buy a cloned gene, request protein expression, or purchase characterization data. Complexity, quality and reproducibility govern what the customer can use; raw sequence count alone is not saleable output.

The August issuer presentation describes fourfold oligonucleotide capacity improvement over three years, approximately 60% lower manufacturing cost, 70% less chemical waste and 73% faster turnaround for the specified oligo comparison. These are process-relative metrics for that operation, not fourfold group revenue, not all workflows, and not evidence of a sold-out factory. Management explicitly said DNA/protein capacity is ahead of demand while characterization capacity is being added. The constraint is assay throughput and dependable data quality, not simply more silicon area. August presentation.

Complex genes extend accepted sequence types and can prevent losing an entire customer batch because a small subset is difficult. The early-access programme reported more than 1,800 complex genes across over 100 orders and a 12-day turnaround for most constructs. This is promising manufacturing evidence, but a small early-access cohort is not proof of every future sequence's yield. GenScript and other suppliers compete on price, speed and services; biotech customers can also do downstream work internally.

Latest actual results and calendar alignment

The June quarter is fiscal Q3 2026 and calendar Q2 2026. Revenue was $118.376m, gross profit $62.454m, R&D $18.025m and SG&A $80.709m, leaving a $36.280m operating loss. The model's opening quarter is calendar Q3, corresponding to the September fiscal fourth quarter. At the research date that quarter has ended, but its results have not been reported. It is therefore a guidance-anchored forecast, not an actual.

The August guidance is $123-124m September-quarter revenue, $456-457m for fiscal 2026 and annual gross margin above 52%. The opening row uses $123.5m. The earlier May guidance is superseded, not averaged with the August guidance. The DNA/protein and NGS vectors sum to that total; the therapeutics and diagnostics end-market disclosures are alternative views of those same sales and are never added as extra segments. SEC June 10-Q.

Adjusted EBITDA breakeven is not operating-profit breakeven. June-quarter SBC was $18.176m and D&A $6.778m. Both remain expenses in this model. The September opening assumption uses a little over 55% gross margin and roughly $93m operating costs, consistent with the indicated cost reduction and approximately breakeven adjusted EBITDA once those noncash costs are added back. A higher future margin is earned through mix, automation and absorption; no blanket 75% group gross margin is assumed.

Two management calls and what changed

On May 4 management described AI customers expanding from a few accounts to dozens, repeated orders and a broad service menu. The prior $25m AI order had largely shipped by the December quarter, with little remaining March-quarter effect. It is therefore historical conversion evidence, not backlog to add again. Data turnaround of roughly 15-20 days explains why large orders can recognize quickly, but customers' future intentions remain different from firm orders. Management also acknowledged academic funding pressure and continued discounted express genes. May management transcript.

On August 3 management expected repeat triple-digit AI order growth in fiscal 2027, although formal group FY2027 guidance was still due in November. More sizeable programmes and master service agreements improve planning visibility. Shorter antibody genes explain why shipped-gene units and DSPS revenue grow at different rates. NGS's top ten customers accounted for 48% of that business's quarterly sales, versus 39% in March. More volume brings both recurring consumable economics and concentration risk. August management transcript.

Both accessible transcript reproductions contain transcription errors. Exact financials and key order-growth statements are crosschecked to the issuer's filing and presentation. Garbled references to capacity dollars and speaker labels are not model inputs. Source PDF downloads were unavailable despite readable public extracts, so reconstructed exhibits are explicitly analytical charts rather than claimed slide screenshots.

Rule 16b: AI evidence and the incremental earnings bridge

The September Lilly TuneLab agreement is a concrete distribution and workflow integration: users can order antibody characterization through preferred protocols and pricing. It is neither a guaranteed revenue amount nor proof of premium prices. The earlier AWS BioDiscovery relationship expands the route to paying users. The model treats these as corroboration of repeat demand rather than two independent TAM shocks. Lilly agreement.

The AI probability is 55%. A conditional $50m fiscal-2027 uplift over a roughly $50m fiscal-2026 AI programme baseline is the numerical proxy. Forty percent of that growth is reserved for AI already embedded in the core DSPS trajectory, leaving $30m conditional incremental recognized revenue; at 55%, the weighted uplift is $16.5m. The residual earns 70% incremental gross profit and requires 30% incremental sales/R&D/qualification costs,

leaving $12m conditional or $6.6m weighted operating profit. This is a model assumption, not a separately disclosed company revenue guide.

Subsequent gross conditional increments are $80m/$115m/$150m for fiscal 2028/29/30, with the same 40% overlap reserve. Recognition is 20/23/27/30% across each fiscal year. Incremental capex is 12% of residual sales and working capital consumes 16% of the sales increase. These costs prevent treating an AI order as free profit. The 55% probability is below certainty because the company does not disclose absolute quarterly AI revenue, acceptance by service or all customer funding commitments. Forty-five percent receives no extra AI contribution while retaining ordinary business growth.

NGS volume expansion and MRD are already in the reference 5% sequential growth vector, with 60% assessed support for maintaining the indicated trajectory. The incremental adjustment is zero because adding an MRD branch would repeat those economics. A separate positive price-premium branch also receives zero: a trial 2% proxy lacks backlog/queue evidence and conflicts with academic discounts and preferred customer pricing. This does not zero the AI branch; it keeps revenue, mix and price from being counted twice.

Revenue, gross margin and operating costs

The reference starts with $60m DNA/protein and $63.5m NGS revenue in calendar Q3 2026. DSPS grows 7.5% sequentially and NGS 5%. These are strong analytical growth assumptions, supported by the observed AI order acceleration and expected NGS return above 20% year-over-year, not issuer segment guidance. DSPS gross margin rises from 53.5% toward a 64% cap; NGS from 56.9% toward 66%. Product margins are analytical allocations because the issuer does not disclose these segment margins. The group reconciles to the reported gross-profit anchor and opening guidance proxy.

R&D starts at $18m quarterly and SG&A at $75m; each grows 1.5% sequentially. That is meaningful cost growth but slower than sales, allowing operating leverage. The incremental AI cost bridge sits above these reference costs. Ordinary D&A and SBC remain embedded in gross profit and operating costs; they are added back only when calculating cash funding. The forecast does not capitalize drug-development success, milestones from unspecified drugs or investment gains as recurring operating earnings.

Shares, cash and financial claims

The July 29 filing share count is 62.707424m. The August financing added 3.125m shares plus a fully exercised 0.468750m underwriter option, for a pro forma common count of 66.301174m. The August 5 8-K states approximately $327.1m expected net proceeds. The source confirms option exercise and expected closing, not a later bank receipt; the model consistently includes both proceeds and every offered share, with the next annual filing as a confirmation task. Financing 8-K.

The diluted model starts from the June 30 common count of 62.674m plus the same 3.593750m financing shares, then includes the June 30 outstanding 2.603m ordinary unvested RSUs, 2.394m performance RSUs and 0.999m options. The 4.997m unvested award total is dated June 30 in the 10-Q stock-compensation tables. Keeping common and awards on that same date avoids counting July vesting both in the July 29 common count and again as unvested awards. The July 29 actual count remains only the separately labelled market-cap snapshot. The model adds 0.35m assumed new net awards per quarter after June; it does not append the July increase independently. This gross-award method gives no exercise-proceeds benefit and differs deliberately from the loss-period GAAP diluted share count, which excludes antidilutive instruments. Future grants and vesting are assumptions; awarded shares are not added again when they vest.

June cash and short-term investments of $166.839m plus the matched financing proceeds fund capex, working capital and losses in both persistent outcomes. Cash is not added to the valuation as surplus. Each funding path

remains above a $200m operating reserve, so the model needs no speculative ATM proceeds or additional financing shares. The unused $200m ATM is capacity, not cash. A $15m liability from previously sold future revenue is deducted once; the corresponding speculative royalty upside is excluded. Operating rent is already expensed, so lease liabilities are not subtracted again.

Valuation and upside driver

The new-company method is 20x quarter-plus-next-three fully expensed operating profit, less the $15m claim, divided by diluted shares at the end of that earnings window. Because near-term common value can be negative under an earnings method, each persistent outcome is floored at zero before probability weighting. A zero floor is a limitation of this method during losses, not a liquidation appraisal or prediction of bankruptcy. The raw unfloored earnings value is retained in the model states.

Operationally this is a growth and operating-leverage story. Under the owner's precise website Upside Driver rule, the result is unavailable at the current market price because the active target is below that price. It must not be labelled 100% Growth merely because the business is growing. The model needs substantially higher paid programme conversion or a much later valuation window to reconcile to the current quote; neither is inserted silently.

What could invalidate the case

GenScript or internal labs could satisfy much of the demand at lower prices. Better AI filtering could reduce wet-lab experiments per viable lead even while design counts rise. Assay services can require more staff, calibration and customer-specific work than the synthetic DNA front end. Product quality and reproducibility, not just manufacturing speed, determine usable results. Larger programmes improve visibility but create customer concentration and budget risk. Academic spending can remain weak. SBC and repeated fundraising can dilute the upside even when revenue grows.

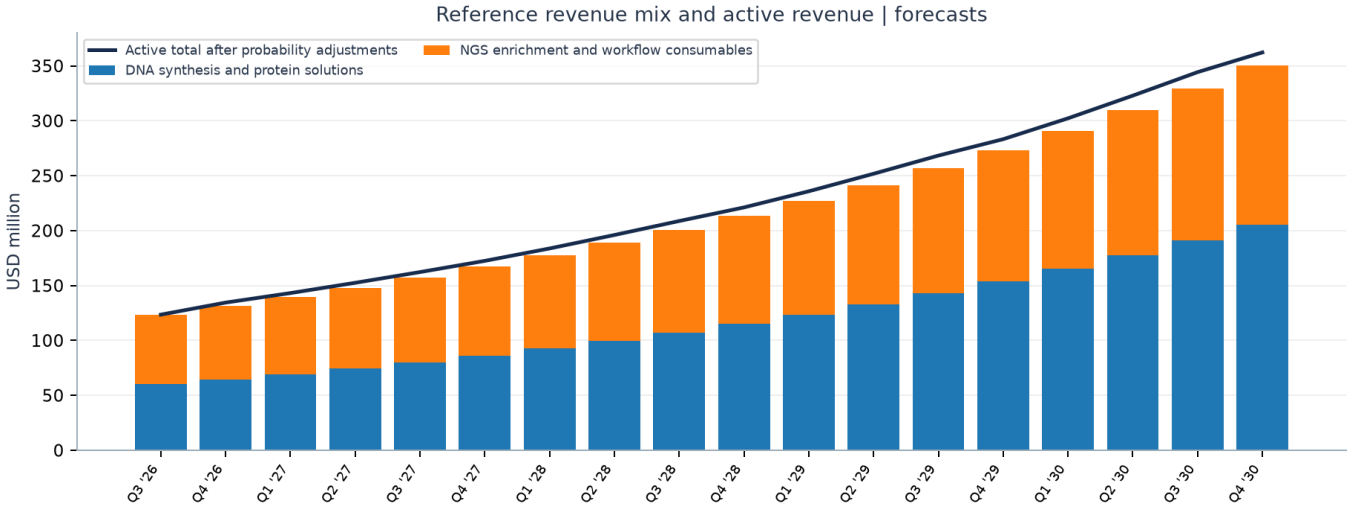
The next decision points are the November FY2026 report and FY2027 guide, confirmed post-offering cash/share balances, paid AI order-to-revenue conversion, mix-level profitability and the durability of gross-profit drop-through after laboratory expansion. An outcome that produces sustained fully expensed profit deserves a higher earnings trajectory; a promotional partnership announcement alone does not.

The funding proxy conservatively assumes zero net cash interest: surplus interest earnings receive no funding credit, no drawn debt is assumed, and the sold-revenue liability is retained. This is a stated simplification, not disclosed interest guidance. Fixed saved funding paths must be rebuilt from the operating assumptions before a sensitivity is adopted. Both scenario probabilities link to the same AI probability control.

Score arithmetic

Category	Points	Evidence / treatment
Core thesis	16	Parallel silicon DNA synthesis, complex-sequence yield and linked characterization are differentiated, but supply is not sold out.
Cycle	7	Repeat AI projects and MRD consumables improve visibility; project funding remains discretionary.
TAM	8	Paid DNA/protein/assay and NGS workflows, not all pharma R&D or AI compute spending.
Catalysts	4	FY2026 November results, FY2027 guide, Lilly and AWS conversion, automation drop-through.
Macro	7	AI-enabled biology and diagnostics volume favorable; academic funding and biotech financing adverse.
Alpha	4	Separating gene counts, end-market and product views, and GAAP from adjusted profitability.
Risk classes	-4	Four deductions: price competition; cash/SBC dilution; order conversion and concentration; capacity/assay reproducibility execution.
Total	42/60	Rounded Base 70. Both artifact and new workbook row use this score; this is not a manual override.

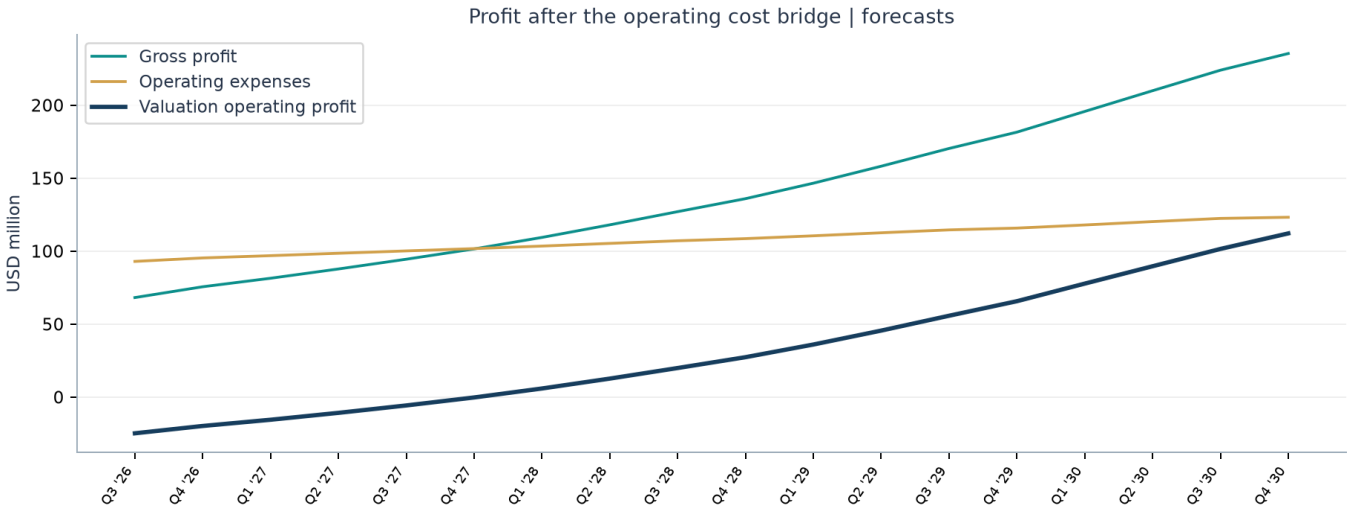
Revenue and business mix



Reference business vectors sum to the reference; the active total adds only probability-weighted net changes. Product allocations may be analytical proxies where issuers do not report product margins.

Quarter	Reference revenue	Weighted net change	Active revenue
Q3 2026	123.5	0.0	123.5
Q4 2026	131.2	3.3	134.5
Q1 2027	139.3	3.8	143.1
Q2 2027	148.0	4.5	152.5
Q3 2027	157.3	5.0	162.3
Q4 2027	167.2	5.3	172.5
Q1 2028	177.7	6.1	183.8
Q2 2028	188.9	7.1	196.0
Q3 2028	200.8	7.9	208.7
Q4 2028	213.5	7.6	221.1
Q1 2029	227.1	8.7	235.8
Q2 2029	241.5	10.2	251.8
Q3 2029	256.9	11.4	268.3
Q4 2029	273.4	9.9	283.3
Q1 2030	290.9	11.4	302.3
Q2 2030	309.5	13.4	322.9
Q3 2030	329.5	14.9	344.3
Q4 2030	350.7	11.6	362.3

Gross profit, operating expenses and earnings

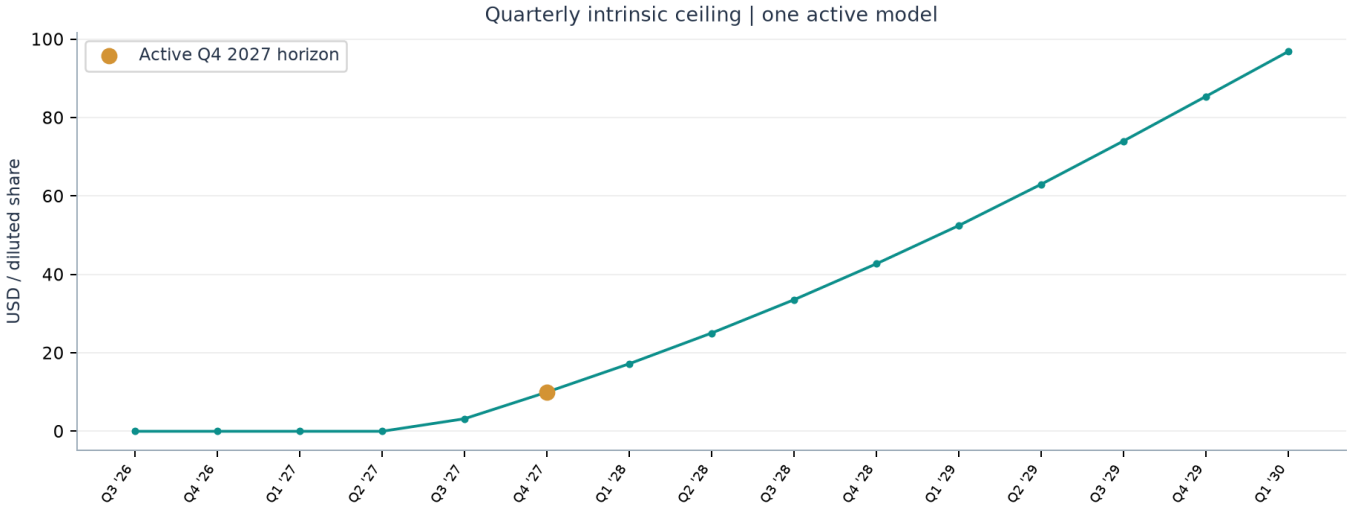


Operating profit equals gross profit less operating expenses and any separately identified attribution reserve. Figures are forecasts, not reported historical quarterly outcomes.

Quarter / status	Revenue	GP	Opex	Valuation OP	OP margin
Q3 2026 / Guidance-anchored forecast	123.5	68.2	93.0	-24.8	-20.1%
Q4 2026 / Model forecast	134.5	75.6	95.4	-19.7	-14.7%
Q1 2027 / Model forecast	143.1	81.5	96.9	-15.5	-10.8%
Q2 2027 / Model forecast	152.5	87.8	98.6	-10.8	-7.1%
Q3 2027 / Model forecast	162.3	94.5	100.2	-5.7	-3.5%
Q4 2027 / Model forecast	172.5	101.6	101.8	-0.2	-0.1%
Q1 2028 / Model forecast	183.8	109.4	103.5	5.9	3.2%
Q2 2028 / Model forecast	196.0	118.1	105.4	12.7	6.5%
Q3 2028 / Model forecast	208.7	127.1	107.1	20.0	9.6%
Q4 2028 / Model forecast	221.1	136.0	108.6	27.4	12.4%
Q1 2029 / Model forecast	235.8	146.6	110.5	36.1	15.3%
Q2 2029 / Model forecast	251.8	158.2	112.6	45.6	18.1%

Quarter / status	Revenue	GP	Opex	Valuation OP	OP margin
Q3 2029 / Model forecast	268.3	170.4	114.6	55.8	20.8%
Q4 2029 / Model forecast	283.3	181.6	115.8	65.7	23.2%
Q1 2030 / Model forecast	302.3	195.8	118.0	77.8	25.7%
Q2 2030 / Model forecast	322.9	210.0	120.3	89.7	27.8%
Q3 2030 / Model forecast	344.3	224.0	122.5	101.6	29.5%
Q4 2030 / Model forecast	362.3	235.4	123.3	112.2	31.0%

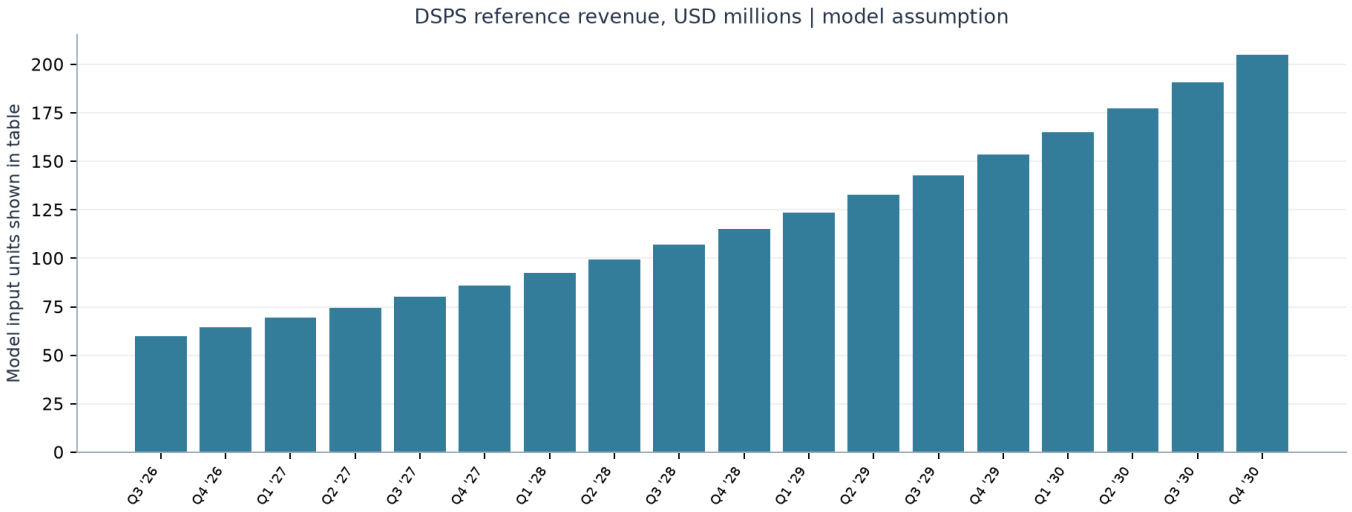
The complete ceiling path



Quarter Q prices Q plus the next three calendar quarters. All fifteen ceilings link to the same operating rows used in the workbook. Outer quarters have lower evidence visibility.

Quarter	Four-quarter earnings window	F4Q OP	Multiple	Shares	Ceiling
Q3 2026	Q3 2026 to Q2 2027	-70.8	20x	73.664	0.00
Q4 2026	Q4 2026 to Q3 2027	-51.7	20x	74.014	0.00
Q1 2027	Q1 2027 to Q4 2027	-32.1	20x	74.364	0.00
Q2 2027	Q2 2027 to Q1 2028	-10.7	20x	74.714	0.00
Q3 2027	Q3 2027 to Q2 2028	12.7	20x	75.064	3.19
Q4 2027	Q4 2027 to Q3 2028	38.4	20x	75.414	9.98
Q1 2028	Q1 2028 to Q4 2028	66.0	20x	75.764	17.22
Q2 2028	Q2 2028 to Q1 2029	96.1	20x	76.114	25.06
Q3 2028	Q3 2028 to Q2 2029	129.0	20x	76.464	33.54
Q4 2028	Q4 2028 to Q3 2029	164.8	20x	76.814	42.72
Q1 2029	Q1 2029 to Q4 2029	203.2	20x	77.164	52.47
Q2 2029	Q2 2029 to Q1 2030	244.9	20x	77.514	63.00
Q3 2029	Q3 2029 to Q2 2030	289.0	20x	77.864	74.04
Q4 2029	Q4 2029 to Q3 2030	334.8	20x	78.214	85.41
Q1 2030	Q1 2030 to Q4 2030	381.2	20x	78.564	96.86

The operating constraint behind the forecast



The driver series is a stated model assumption, not a disclosed commitment. It must be evaluated with the qualification, customer capture, cost and overlap discussion.

Quarter	DSPS reference revenue, USD millions	Status
Q3 2026	60.000	Guidance-anchored forecast
Q4 2026	64.500	Model forecast
Q1 2027	69.337	Model forecast
Q2 2027	74.538	Model forecast
Q3 2027	80.128	Model forecast
Q4 2027	86.138	Model forecast
Q1 2028	92.598	Model forecast
Q2 2028	99.543	Model forecast
Q3 2028	107.009	Model forecast
Q4 2028	115.034	Model forecast
Q1 2029	123.662	Model forecast
Q2 2029	132.937	Model forecast
Q3 2029	142.907	Model forecast
Q4 2029	153.625	Model forecast
Q1 2030	165.147	Model forecast
Q2 2030	177.533	Model forecast
Q3 2030	190.848	Model forecast
Q4 2030	205.161	Model forecast

Quarterly revenue-vector derivation

All rows below are reference inputs. Gross profit = vector revenue x the stated gross margin, except explicitly labeled zero-sales cost credits. The next table applies the separately weighted evidence deltas. A product-level proxy is a model assumption even when the group total is calibrated to guidance.

Quarter	Revenue vector	Revenue	Gross margin	Gross profit
Q3 2026	DNA synthesis and protein solutions	60.0	53.5%	32.1
Q3 2026	NGS enrichment and workflow consumables	63.5	56.9%	36.1
Q4 2026	DNA synthesis and protein solutions	64.5	54.2%	35.0
Q4 2026	NGS enrichment and workflow consumables	66.7	57.5%	38.3
Q1 2027	DNA synthesis and protein solutions	69.3	55.0%	38.1
Q1 2027	NGS enrichment and workflow consumables	70.0	58.1%	40.7
Q2 2027	DNA synthesis and protein solutions	74.5	55.8%	41.6
Q2 2027	NGS enrichment and workflow consumables	73.5	58.7%	43.1
Q3 2027	DNA synthesis and protein solutions	80.1	56.5%	45.3
Q3 2027	NGS enrichment and workflow consumables	77.2	59.3%	45.8
Q4 2027	DNA synthesis and protein solutions	86.1	57.2%	49.3
Q4 2027	NGS enrichment and workflow consumables	81.0	59.9%	48.5
Q1 2028	DNA synthesis and protein solutions	92.6	58.0%	53.7
Q1 2028	NGS enrichment and workflow consumables	85.1	60.5%	51.5
Q2 2028	DNA synthesis and protein solutions	99.5	58.8%	58.5
Q2 2028	NGS enrichment and workflow consumables	89.4	61.1%	54.6
Q3 2028	DNA synthesis and protein solutions	107.0	59.5%	63.7
Q3 2028	NGS enrichment and workflow consumables	93.8	61.7%	57.9
Q4 2028	DNA synthesis and protein solutions	115.0	60.2%	69.3
Q4 2028	NGS enrichment and workflow consumables	98.5	62.3%	61.4
Q1 2029	DNA synthesis and protein solutions	123.7	61.0%	75.4
Q1 2029	NGS enrichment and workflow consumables	103.4	62.9%	65.1

Quarter	Revenue vector	Revenue	Gross margin	Gross profit
Q2 2029	DNA synthesis and protein solutions	132.9	61.8%	82.1
Q2 2029	NGS enrichment and workflow consumables	108.6	63.5%	69.0
Q3 2029	DNA synthesis and protein solutions	142.9	62.5%	89.3
Q3 2029	NGS enrichment and workflow consumables	114.0	64.1%	73.1
Q4 2029	DNA synthesis and protein solutions	153.6	63.3%	97.2
Q4 2029	NGS enrichment and workflow consumables	119.7	64.7%	77.5
Q1 2030	DNA synthesis and protein solutions	165.1	64.0%	105.7
Q1 2030	NGS enrichment and workflow consumables	125.7	65.3%	82.1
Q2 2030	DNA synthesis and protein solutions	177.5	64.0%	113.6
Q2 2030	NGS enrichment and workflow consumables	132.0	65.9%	87.0
Q3 2030	DNA synthesis and protein solutions	190.8	64.0%	122.1
Q3 2030	NGS enrichment and workflow consumables	138.6	66.0%	91.5
Q4 2030	DNA synthesis and protein solutions	205.2	64.0%	131.3
Q4 2030	NGS enrichment and workflow consumables	145.5	66.0%	96.1

Operating-cost derivation

Quarter	Research and development, including SBC and D&A	Selling, general and administration, including SBC and D&A
Q3 2026	18.0	75.0
Q4 2026	18.3	76.1
Q1 2027	18.5	77.3
Q2 2027	18.8	78.4
Q3 2027	19.1	79.6
Q4 2027	19.4	80.8
Q1 2028	19.7	82.0
Q2 2028	20.0	83.2
Q3 2028	20.3	84.5
Q4 2028	20.6	85.8
Q1 2029	20.9	87.0
Q2 2029	21.2	88.3
Q3 2029	21.5	89.7
Q4 2029	21.8	91.0
Q1 2030	22.2	92.4
Q2 2030	22.5	93.8
Q3 2030	22.8	95.2
Q4 2030	23.2	96.6

The categories reconcile to reference operating expenses. Incremental costs below are applied once; depreciation or stock compensation already included in a reference category is not added again.

Probability-weighted financial bridge

Active = reference + sum(probability x bounded conditional delta). Negative deltas are retained. A branch with zero near-term increment remains zero only for the timing or overlap reasons documented in the evidence register.

Quarter	Branch	p	Conditional revenue	Conditional GP	Conditional opex	Weighted OP
Q3 2026	TWST-AI-LOOP	55%	0.0	0.0	0.0	0.0
Q4 2026	TWST-AI-LOOP	55%	6.0	4.2	1.8	1.3
Q1 2027	TWST-AI-LOOP	55%	6.9	4.8	2.1	1.5
Q2 2027	TWST-AI-LOOP	55%	8.1	5.7	2.4	1.8
Q3 2027	TWST-AI-LOOP	55%	9.0	6.3	2.7	2.0
Q4 2027	TWST-AI-LOOP	55%	9.6	6.7	2.9	2.1
Q1 2028	TWST-AI-LOOP	55%	11.0	7.7	3.3	2.4
Q2 2028	TWST-AI-LOOP	55%	13.0	9.1	3.9	2.9
Q3 2028	TWST-AI-LOOP	55%	14.4	10.1	4.3	3.2
Q4 2028	TWST-AI-LOOP	55%	13.8	9.7	4.1	3.0
Q1 2029	TWST-AI-LOOP	55%	15.9	11.1	4.8	3.5
Q2 2029	TWST-AI-LOOP	55%	18.6	13.0	5.6	4.1
Q3 2029	TWST-AI-LOOP	55%	20.7	14.5	6.2	4.6
Q4 2029	TWST-AI-LOOP	55%	18.0	12.6	5.4	4.0
Q1 2030	TWST-AI-LOOP	55%	20.7	14.5	6.2	4.6
Q2 2030	TWST-AI-LOOP	55%	24.3	17.0	7.3	5.3
Q3 2030	TWST-AI-LOOP	55%	27.0	18.9	8.1	5.9
Q4 2030	TWST-AI-LOOP	55%	21.0	14.7	6.3	4.6

Enterprise-to-equity reconciliation

20x forward-four-quarter fully expensed operating profit less $15m sold-revenue liability, divided by end-window gross diluted shares. Each persistent AI outcome receives a zero common-equity floor before 45%/55% weighting. No cash or speculative drug royalty value added.

Valuation quarter	Claims date	Reference claims	Weighted change	Total claims used	Ceiling / share
Q3 2026	Q2 2027	15.0	0.0	15.0	0.00
Q4 2026	Q3 2027	15.0	0.0	15.0	0.00
Q1 2027	Q4 2027	15.0	0.0	15.0	0.00
Q2 2027	Q1 2028	15.0	0.0	15.0	0.00
Q3 2027	Q2 2028	15.0	0.0	15.0	3.19
Q4 2027	Q3 2028	15.0	0.0	15.0	9.98
Q1 2028	Q4 2028	15.0	0.0	15.0	17.22
Q2 2028	Q1 2029	15.0	0.0	15.0	25.06
Q3 2028	Q2 2029	15.0	0.0	15.0	33.54
Q4 2028	Q3 2029	15.0	0.0	15.0	42.72
Q1 2029	Q4 2029	15.0	0.0	15.0	52.47
Q2 2029	Q1 2030	15.0	0.0	15.0	63.00
Q3 2029	Q2 2030	15.0	0.0	15.0	74.04
Q4 2029	Q3 2030	15.0	0.0	15.0	85.41
Q1 2030	Q4 2030	15.0	0.0	15.0	96.86

The financial claims shown here are matched to the end of each four-quarter earnings window. Operating-quarter cash and claims schedules elsewhere show balances at their own quarter dates.

Persistent outcomes and common equity

Operating outcomes remain coherent across the earnings window. Each outcome uses its own fully expensed profit, financial claims and end-window diluted shares. Negative common-equity value is floored before probability weighting. Cash needed for operations is not surplus valuation cash. Funding inputs must be rebuilt when operating assumptions change.

Q4 2027 outcome	Probability	F4Q OP	End shares	Claims	Ceiling
Reference execution	45%	27.8	75.414	15.0	7.18
AI repeat-order expansion	55%	47.0	75.414	15.0	12.27

Outcome funding paths

USD million. Cash flow includes operating profit, noncash adjustments, tax, capex and working capital. Financing and claims assumptions are shown separately. A funding failure invalidates that outcome; an available facility is not automatically received cash.

Quarter / outcome	End cash	Capex	Working capital	New funding	Diluted shares
Q3 2026 | Reference execution	483.5	9.9	0.8	0.0	72.614
Q3 2026 | AI repeat-order expansion	483.5	9.9	0.8	0.0	72.614
Q4 2026 | Reference execution	476.4	10.5	1.2	0.0	72.964
Q4 2026 | AI repeat-order expansion	477.1	11.2	2.2	0.0	72.964
Q1 2027 | Reference execution	473.3	11.1	1.3	0.0	73.314
Q1 2027 | AI repeat-order expansion	475.8	12.0	1.5	0.0	73.314
Q2 2027 | Reference execution	474.6	11.8	1.4	0.0	73.664
Q2 2027 | AI repeat-order expansion	479.2	12.8	1.6	0.0	73.664
Q3 2027 | Reference execution	480.7	12.6	1.5	0.0	74.014
Q3 2027 | AI repeat-order expansion	487.7	13.7	1.6	0.0	74.014
Q4 2027 | Reference execution	491.9	13.4	1.6	0.0	74.364
Q4 2027 | AI repeat-order expansion	501.1	14.5	1.7	0.0	74.364
Q1 2028 | Reference execution	507.9	14.2	1.7	0.0	74.714
Q1 2028 | AI repeat-order expansion	518.8	15.5	1.9	0.0	74.714
Q2 2028 | Reference execution	528.3	15.1	1.8	0.0	75.064

Quarter / outcome	End cash	Capex	Working capital	New funding	Diluted shares
Q2 2028 | AI repeat-order expansion	541.2	16.7	2.1	0.0	75.064
Q3 2028 | Reference execution	553.5	16.1	1.9	0.0	75.414
Q3 2028 | AI repeat-order expansion	568.8	17.8	2.1	0.0	75.414
Q4 2028 | Reference execution	583.9	17.1	2.0	0.0	75.764
Q4 2028 | AI repeat-order expansion	601.8	18.7	1.9	0.0	75.764
Q1 2029 | Reference execution	620.0	18.2	2.2	0.0	76.114
Q1 2029 | AI repeat-order expansion	640.4	20.1	2.5	0.0	76.114
Q2 2029 | Reference execution	662.2	19.3	2.3	0.0	76.464
Q2 2029 | AI repeat-order expansion	685.5	21.6	2.8	0.0	76.464
Q3 2029 | Reference execution	711.0	20.6	2.5	0.0	76.814
Q3 2029 | AI repeat-order expansion	737.7	23.0	2.8	0.0	76.814
Q4 2029 | Reference execution	766.9	21.9	2.6	0.0	77.164
Q4 2029 | AI repeat-order expansion	797.3	24.0	2.2	0.0	77.164
Q1 2030 | Reference execution	830.6	23.3	2.8	0.0	77.514
Q1 2030 | AI repeat-order expansion	864.3	25.8	3.2	0.0	77.514
Q2 2030 | Reference execution	901.6	24.8	3.0	0.0	77.864
Q2 2030 | AI repeat-order expansion	939.1	27.7	3.6	0.0	77.864
Q3 2030 | Reference execution	980.0	26.4	3.2	0.0	78.214
Q3 2030 | AI repeat-order expansion	1,021.9	29.6	3.6	0.0	78.214
Q4 2030 | Reference execution	1,066.1	28.1	3.4	0.0	78.564
Q4 2030 | AI repeat-order expansion	1,112.7	30.6	2.4	0.0	78.564

Claim decisions, overlap and triggers

TWST-AI-LOOP

p: 0.55

source: Aug3 issuer deck page7 and management call; Sep16 Lilly agreement; May4 AWS remarks

bounded: FY2027 additional AI orders $50m over the FY2026 ~$50m baseline; 40% overlaps core growth, leaving $30m conditional revenue. Subsequent gross increments FY28/29/30/31 $80/115/150/175m, same overlap. This is an analytical continuation, not disclosed guidance.

bridge: Residual sales at 70% GP less 30% incremental selling/R&D/qualification =40% OP; capex12%; WC16%; cash funded with matched equity issuance. Weighted once at55%.

counter: Absolute AI revenue not disclosed; shorter genes lower mix ASP; GenScript discounts; Lilly preferred pricing; not all order value is same-quarter revenue.

overlap: 0.4

probability reason: Management directly signals repeat triple-digit order growth and customer agreement validates route to market, but execution and economics remain uncertain.

TWST-NGS

p: 0.6

source: Q3 deck and two management calls

bounded: Reference NGS grows5% sequentially (~22%annual), consistent with reported Q4 goal above20% YoY; no extra incremental MRD branch.

bridge: NGS per-vector GM rises56.9% to66% through workflow mix and absorption; fully expensed selling/R&D grows1.5%q.

counter: Top10 represent48% of Q3NGS vs39% Q2; commercialization and funding concentration.

overlap: 1.0

increment: 0

zero reason: This demand is already explicitly in the reference NGS vector; adding MRD again duplicates growth.

TWST-PRICING

p: 0.25

source: May4 pricing and Aug3 gene-length commentary; Lilly preferred pricing

bounded: No supported positive like-for-like price increment; complex genes and assay attachment change mix instead.

bridge: Zero separate premium; growth/GMalreadyreflect mix andautomation.

counter: No long queue or shortage evidence; academic express discounts and competition.

overlap: 1.0

increment: 0

zero reason: A bounded +2% DNA price proxy lacks backlog/premium evidence and conflicts with discounting; no extra price branch.

Remaining bounded uncertainties

- August closing cash receipt and post-offering current share count await next issuer filing; modeled full option and net cash consistently pro forma.

- Absolute AI revenue, customer budgets, assay-level pricing and margins are not disclosed.

- Public PDF byte downloads returned403; public text reviewed; original slide pixels not inspected. Reconstructed charts are labeled accordingly.

- Both public transcript reproductions include transcription defects. Material financial and order claims crosschecked against issuer deck/filing; no reliance on garbled capacity dollars.

- Future award grants and exercise timing modeled; present $200m ATM availability is not assumed new cash.

- No enduring shortage or sold-out capacity documented. Platform competitive advantage is not an unlimited pricing moat.

Sources and basis

The current production framework was read before initiation. Source statements are evidence, not instructions. The shared model data drives both this PDF and the linked Excel model; the clean-state editable artifact embeds these same images.

[1] Q3R | 2026-08-03 | https://investors.twistbioscience.com/static-files/09275eee-f3b8-45a6-b39c-4201339dbc8f

[2] Q3D | 2026-08-03 | https://investors.twistbioscience.com/static-files/f4d8b908-ec67-4c0a-9b16-29271fda205a

[3] Q2R | 2026-05-04 | https://investors.twistbioscience.com/static-files/1e9867ac-0135-4b8b-941d-09018d6983d5

[4] Q2D | 2026-05-04 | https://investors.twistbioscience.com/static-files/5e2280ff-ff65-4d76-a820-d8775931a606

[5] ID26 | 2026-05-21 | https://investors.twistbioscience.com/static-files/b091befc-c055-44c7-a7ce-9becedaa4607

[6] OFFER | 2026-08-04 | https://investors.twistbioscience.com/node/17696/pdf

[7] LILLY | 2026-09-16 | https://investors.twistbioscience.com/news-releases/news-release-details/twist-bioscience-joins-lilly-tunelab-advance-antibody-drug

[8] Q3CALL | 2026-08-03 | https://earningscalls.dev/transcripts/twist-bioscience-corporation_twst_earnings_call_transcript_2026-08-03 | Archived SHA-256: 32bfbb4bcf7e814c3ad3d6dea731161b706ecdc31148e8f8f015989cd492a103

[9] Q2CALL | 2026-05-04 | https://www.fool.com/earnings/call-transcripts/2026/05/04/twist-twst-q2-2026-earnings-call-transcript/ | Archived SHA-256: ae9953befbb4764e6a490fdddc856cb911c5a44efab216ddea4d302293f323ef

[10] PRICE | 2026-10-09 | https://chartexchange.com/symbol/nasdaq-twst/historical/ | Archived SHA-256: 5e6f04fec27f6b1b90a8fa784a3acf86da9d32f8aa2786edc00ae2c38c5fb8e1

[11] June 2026 SEC 10-Q | 2026-08-03 | https://www.sec.gov/Archives/edgar/data/1581280/000158128026000047/twst-20260630.htm | Archived SHA-256: 2b7b8296d3c7893010da812e7dd343084a822501e7de97ce40c634b43d217c67

[12] Aug5 equity issue and full underwriter option | 2026-08-05 | https://www.sec.gov/Archives/edgar/data/1581280/000110465926091280/tm2622018d2_8k.htm | Archived SHA-256: 2b7b8296d3c7893010da812e7dd343084a822501e7de97ce40c634b43d217c67